NATIONAL COMPANY LAW TRIBUNAL

AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 28.10.2021 AT 10.30 AM

TRANSFER PETITION NO.	
COMPANY PETITION/APPLICATION NO.	CA(A) Merger & Amalgamation/8/230/AMR/2021
NAME OF THE COMPANY	PBL Logistics Pvt Ltd (Transferor Co.) PBL Transport Corporation Pvt Ltd (Transferee Co.)
NAME OF THE PETITIONER(S)	
NAME OF THE RESPONDENT(S)	
UNDER SECTION	230

Counsel for Petitioner(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CA (CAA) No. 08/230/AMR/2021 is allowed. Order pronounced vide separate sheets.

(JUSTICE TELAPROLU RAJANI)
MEMBER JUDICIAL

RSN

IN THE NATIONAL COMPANY LAW TRIBUNAL AMARAVATI BENCH AT HYDERABAD

CA (CAA) No. 08/230/AMR/2021

Application under Sections 230 to 232 of the Companies Act, 2013 Read with Rule 3 and 5 of the Companies (Compromise Arrangements and Amalgamations) Rules, 2016

In the matter of

M/s. P.B.L. Logistics Private Limited,
D.No.47-10-13, First Floor, Rednam Plaza,
II Road, Dwarakanagar,
Visakhapatnam -530016.

... Applicant/Transferor Company

M/s. P.B.L.Transport Corporation Private Limited,
D.No.47-10-13, First Floor, Rednam Plaza,
II Road, Dwarakanagar,
Visakhapatnam -530016

... Applicant/Transferee Company

Date of Order: 28.10.2021

CORAM

Justice Telaprolu Rajani, Member Judicial

Appearance:

For the Applicant: Mr. Santosh Jagtap, PCS

ORDER

1. The present Company Application is filed by M/s. P.B.L. Logistics Private Limited (Transferor Company) and M/s. P.B.L. Transport Corporation Private Limited (Transferee Company) under Sections 230 & 232 of the Companies Act, 2013 Read with Rule 5 of the Companies (Compromise Arrangements and Amalgamations) Rules, 2016 (hereinafter referred to as "the Rules") seeking for Amalgamation of the

two companies and an order to dispense with the convening of the meetings of the Equity Shareholders of both the Companies, so also to dispense with the convening of the meetings of the Secured and Unsecured Creditors of the Transferor Company for consideration of the Scheme of Amalgamation between the Applicant Companies and their respective shareholders and creditors as envisaged under the said scheme.

2. The jurisdiction of this Tribunal is invoked since the registered offices of the Applicant Companies are situated in the State of Andhra Pradesh.

3. The Authorised Share Capital of the Transferor Company as on 31.03.2020 is Rs.1,00,00,000/- divided into 10,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid up share capital is Rs.16,00,000/- divided into 1,60,000 equity shares of Rs.10/- each.

4. The Authorised Share Capital of the Transferee Company as on 31.03.2020 is Rs.5,00,00,000/- divided into 50,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid up share capital is Rs.2,72,00,000/- divided into 27,20,000 equity shares of Rs.10/- each.

5. The facts of the case briefly are as follows:

   a) The Board of Directors of the Applicant Company held meeting on 12.10.2020 and resolved to amalgamate the Transferor Company with the Transferee Company

pursuant to a Scheme of Amalgamation between the two companies and their respective shareholders and creditors.

b) The Scheme of Amalgamation provides for amalgamation of the two companies resulting in consolidation of business of two Companies into one entity and thereby strengthening the position of the Transferee Company by enabling them to harness and optimise the synergies of equipment and human resources, which is in the best interest of both the Companies and their respective shareholders.

c) The Promoters of both the Companies are more or less the same. The Scheme of Amalgamation is being proposed broadly for competitive edge and the ease of doing business. The Transferor Company is engaged in the business of transportation and logistics. The Transferee Company is one of the leading Companies engaged in the business of transportation and logistics. They are under the same management.

d) The entire shareholding in both these companies is directly or indirectly held by the common set of shareholders and both the companies have cross holdings in each other and the Transferor Company is a Subsidiary Company of the Transferee Company. In order to have a better, efficient and economical management control and running of the business, it was proposed to amalgamate the two companies.

e) The Board of Directors of the Applicant Companies, at their respective meetings held on 12.10.2020, approved the Scheme of Amalgamation between the two Applicant Companies and their respective Shareholders and Creditors. The certified copy of the Board Resolution is also annexed to the Application.

f) The Certificate of the Practicing Company Secretary, certifying the list of equity shareholders and the number of shares held by them in the Transferor Company is annexed to the Application, which is to the effect that there has been a change in the shareholding of Transferor Company due to transfers among the family members from the appointed date till the date of this Application. Consent Affidavits given by the Equity Shareholders of the two Applicant Companies are also annexed to the Application. The Certificate issued by the Statutory Auditors, certifying the list of Secured and Unsecured Creditors, including Trade Creditors/Sundry Creditors, showing the amount due to them by the two Applicant Companies as on 10.10.2020 are also annexed. The Consent Affidavits given by the Secured Creditors of the two Applicant Companies are also annexed to the Application.

g) The Applicants seek the Tribunal to dispense with the requirement of holding the meeting of the Equity Shareholder of the Transferor Company on the ground that all the Equity Shareholders of the Transferor Company have consented to the Scheme of Amalgamation. The Transferee Company also sought for

the same direction on the same ground. The prayer to dispense with the requirement of holding meeting of the Secured and Unsecured Creditors of the Transferor Company is made since there are no Secured and Unsecured Creditors in the Transferor Company. Similar prayer was made by the Transferee Company with regard to the meeting of the Secured and Unsecured Creditors on the ground that the Secured and Unsecured Creditor have given consent to the Scheme of Amalgamation.

6. After hearing the submissions made in this regard by Mr.Santosh Jagtap, Practicing Company Secretary (PCS) for the Applicant Companies it can be noted that all the Equity Shareholders of both the Applicant Companies have consented for the Scheme of Amalgamation by way of affidavits and hence the need to direct the Applicant Companies to hold meetings of Equity Shareholders and hence is dispensed with. It also can be noted that there are no Secured and Unsecured Creditors of the Transferor Company and Secured and Unsecured Creditors of the Transferee Company have consented for the amalgamation of the Applicant Companies. Hence the need to direct the Transferee Company and Transferor Company to hold meeting of the, Secured and Unsecured Creditors and Trade Creditors does not exist and hence dispensed with.

7. In compliance of Sub-Section (5) of Section 230 of the Act and Rule 8 of the Rules, 2016, the Applicant Companies shall send notice under Sub-Section (3) of Section 230 Read with Rule 6 of the Rules, 2016 with a copy of the Scheme of Amalgamation, explanatory statement and the disclosures

mentioned in Rule 6 to (a) the Central Government through the Regional Director, South Eastern Region; (b) the Registrar of Companies, Andhra Pradesh; (c) the Income Tax Authorities; and (d) the Official Liquidator. The said notices be sent either by Registered Post or by Speed Post or by Courier or by Hand Delivery at the Offices of the said Authorities as required by Sub Rule (2) of Rule 8 of the Rules. The Aforesaid authorities, who desire to make any representation under Sub-Section (5) of Section 230 of the Act shall send the same to this Tribunal within a period of 30 (Thirty) days from the date of receipt of such notice, failing which it shall be deemed that they have no representation to make on the proposed Scheme of Amalgamation.

8. The Company Application vide CA (CAA) No.08/230/AMR/2021 is allowed and disposed of accordingly.

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu